

# STANDING FOREST TOKEN

## EXECUTIVE BRIEF

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*Catalyzing a New Natural Capital Market*

*A project by*



[biofia.org](http://biofia.org)  
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## 01 · THE PROBLEM

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Tropical primary forests are among the most critical systems on Earth. They regulate climate, sustain biodiversity, and stabilize the conditions that make life possible.

Yet today, they remain economically invisible, valued only when they are destroyed.

**The result is a systemic failure:**

**Destruction is financed. Protection is not.**

\$300 billion per year is needed to halt deforestation. Yet less than \$2 billion reaches forest protection annually, and less than 1% reaches the local stewards who actually protect it.

This is not only a capital shortage. It is a market infrastructure failure.

## 02 · THE VISION

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*To establish standing primary forests as a global reserve of value and a foundational layer of the economy that secures planetary stability while enabling long-term capital allocation for forest protectors and creating the conditions for biodiversity markets to materialize.*

## 03 · THE SOLUTION

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The Standing Forest Token (SFT) ecosystem establishes a new financial system where primary tropical forests are recognized as living infrastructure essential to global climate, economic and social stability. The system assetizes units of forest protection as reserves of planetary stability. These units are defined as *Standing Forest Tokens (SFTs)*. Designed to be fungible and tradable, these assets behave as a currency similar to Bitcoin. Instead of “miners” receiving bitcoins, *Forest Protectors* receive SFTs.

Through a mechanism of continuous monitoring and verification, ecological outcomes and annual forest health are measured and packaged as Annual Verification Tokens (AVTs). These act as yearly rewards for forest protectors maintaining the forest standing and as an eligibility requirement to continue receiving benefits. As bundles of various ecosystem benefits, such as carbon, biodiversity, water, community, or more, AVTs offer credit buyers access to high-integrity, place-based stacked credits. Bridging the SFTs and AVTs is a marketing incentive designed to offer global brand visibility in exchange for staking SFTs to a specific forest hectare and committing to annual purchases of AVTs directly from forest protectors.

### At its core, the system does two things:

- Defines forest protection as units of enduring value
- Continuously monitors and verifies primary forest protection and brings their ecological function into the economy

## How It Works

### The Protection Layer: The SFT

Each SFT represents the historical protection of one hectare of primary tropical forest. The system establishes primary forest protection as a unit within a global reserve of natural capital.

As a fungible token, the SFT is designed to be tradable on the open market. Each transaction captures royalty or transaction fees that are redistributed back to forest protection. A majority portion goes directly to forest protectors (in proportion to their supply in the market). A portion is reserved for a protector crisis fund, as a way to insure against inevitable natural disaster and support regeneration. And a minority portion to sustain system maintenance and support. At just 1% of Bitcoin's average trading volume, this system would generate ~\$4B per year for forest protectors, with an entirely transparent flow of capital.

### The Verification Layer: The AVT

In order to maintain eligibility to receive royalty revenue, a forest protector must annually verify forest health. This verification generates a stacked credit of all ecosystem services provided by that hectare of primary forest. The verification unit, termed *Annual Verification Token*, is customizable to include non-traditional ecosystem services as defined by the forest protector.

The minimum requirement to mint an AVT would include a base level of monitoring data such as Forest Cover, Biodiversity Data, and Carbon. Designed to be customizable by the forest protector, AVTs can stack additional benefits such as but not limited to, Water, Soil, Community, Bio-prospecting rights, Eco-tourism access, or bio-economy non-timber forest products.

### The User Interface Layer: The Map & Token Staking

The user interface is a global map that presents each hectare of tropical primary forest as a clickable hexagon. Those hectares that have been declared protected by eligible forest protectors display a profile with the following data points:

- Forest Protector
- Type of forest
- Risk Profile
- Health Score
- Past Monitoring / Verification mints
- Supporter Profile

Together, protected forest hectares represent digital bio-regions that can be visualized as individual hectares and as collective units where supporters can stake their SFTs to gain a public status as *Supporters*.

Supporter status offers two main benefits:

1. A space for companies or individuals to promote their brands is reserved on the map and forest profile.
2. Supporters receive preferential purchase rights to the corresponding AVT minted from that hectare. Negotiations can be mediated automatically by the platform so that forest protectors can decide who to allow to stake on their forest, offer discounts or decide to enter into multi-year purchase agreements.

Importantly, supporter status also carries the obligation to purchase AVTs minted from that corresponding forest hectare as the demonstration of support. Supporters can decide to resell or retire their AVTs to receive certificates of contribution demonstrating their carbon, biodiversity and other impacts. Secondary trades of AVTs also capture royalties for the forest protector.

**This creates an ecosystem where:**

- Primary forest protection is recognized and valued
- Forest Protectors are central actors and managers of capital
- Forest integrity is maintained and verified over time
- Capital flows directly to forest protectors
- Credit Buyers access high integrity and place-based stacked eco-credits
- Brands can publicly display their support for forests with embedded accountability

04 · TOKEN ARCHITECTURE

This is not another credit mechanism. It is financial infrastructure for a new asset class that values the historical protection of primary tropical forest. The system incentivizes the purchase of stacked credits representing the ecosystem services that a given hectare provides. The system operates through a dual-token structure:

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| <p><b>Standing Forest Token (SFT)</b></p> <ul style="list-style-type: none"><li>• Fungible (Tradable)</li><li>• Minted directly to the Forest Protector</li><li>• Represents the historical protection of one hectare of verified, tropical primary forest</li><li>• Every trade generates royalties for the forest protector - Forever</li><li>• Used by buyers as an access token for high-integrity stacked credits (AVTs)</li><li>• A permanent unit of natural capital</li><li>• It is finite, scarce, and critical to global climate stability</li></ul> | <p><b>Annual Verification Token (AVT)</b></p> <ul style="list-style-type: none"><li>• Non-Fungible (Customizable)</li><li>• Minted directly to the Forest Protector</li><li>• Annual stacked credit of ecosystem services</li><li>• Stack is defined by the Forest Protector - Data Sovereignty is protected</li><li>• Can include traditional Ecosystem Services: Carbon, Biodiversity, Water, Community, Soil</li><li>• Non-traditional Ecosystem Services: Bioeconomy products, Bioprospecting rights, eco-tourism access, etc..</li><li>• Forest Health is monitored</li><li>• Unlocks the forest protector's continued royalties</li><li>• Provides high-integrity, high-story assets for ESG buyers and impact investors</li></ul> |
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This architecture is not dependent on existing carbon and biodiversity credit markets yet benefits from the market's success. This system does not intend to replace existing credit developers and certifiers, but rather integrate with existing credit infrastructure. An emphasis on integrity is maintained and existing mechanisms will be evaluated to receive accreditation. The protocol elevates demand for credits, leveraging public brand positioning as a value driver.

This ecosystem positions historical protection of standing tropical primary forests as a distinct, institutional-grade asset class.

## 05 · WHY NOW

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- Urgent need to support tropical forest protectors
- Tropical Forest Protection is our last line of defence against rapid global climate collapse
- Rapid emergence of natural capital markets
- Institutional demand for credible, long-term ecological assets
- Breakthroughs in digital measurement, reporting, and verification (dMRV)
- Increasing recognition of nature as critical economic infrastructure

SFT enables:

- Direct, transparent capital flows to forest stewards
- Continuous economic alignment with long-term conservation
- Institutional-grade verification and accountability
- A system where value grows from preservation, not depletion
- A way to democratize conservation and engage the global population

The financial system is evolving. We have the capacity - and responsibility - to build a market based mechanism that serves primary forests and their protectors.

### Four pillars of institutional appeal:

|                |                                                                                                                                                           |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Asset Class    | Historical Protection of Primary Tropical Forests — scarce, finite, critical to global climate, economic, social stability                                |
| Time Horizon   | Perpetual royalties + AVTs — multi-generational capital flows                                                                                             |
| Capital Equity | SFT infrastructure channels capital directly to forest protectors                                                                                         |
| Scarcity       | <1 billion hectares remain standing = theoretical maximum. Actual supply to match # of hectares verified to be protected in perpetuity. Asymmetric upside |

## 06 · CATALYTIC CAPITAL STRATEGY

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**We are not raising capital to fund conservation. We are deploying catalytic capital to build the financial infrastructure that allows conservation to fund itself.**

*This is finance for finance: using \$5M to unlock a system capable of mobilizing billions into standing primary forests, and ultimately anchoring trillions in natural capital.*

This capital is deployed to establish a fully operational pilot that proves the viability of standing forests as a financial asset class, integrates with existing credit markets and attracts \$100M+ within 24 months.

### 1. Build the Core Infrastructure

- Launch the SFT protocol and transaction layer
- Develop the global map interface and staking mechanism
- Establish community led digital monitoring, reporting, and verification (CdMRV) systems
- Integrate with existing carbon and biodiversity credit standards

### 2. Activate a Critical Mass of Supply

- Onboard 5M–10M hectares of primary tropical forest across priority regions
- Establish Forest Protector Social Network
- Formalize participation agreements with forest protectors
- Provide readiness funding for monitoring and verification

### 3. Execute the First Market Transactions

- Structure and close \$100M in AVT purchase agreements
- Activate early demand through aligned buyers and brand partners
- Test pricing, royalties, and transaction flows in real conditions

### 4. Establish Governance and Market Credibility

- Establish BioFIA as the interim governance layer
- Accredited verification and ecosystem partners
- Build the foundation for future decentralized governance

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## Outcome After 24 Months

A live, functioning market with:

- 5+ Million of hectares onboarded, SFTs sold and actively transacting
- Verified ecological assets (AVTs) being issued and purchased
- Integration with existing credit and impact bond market
- Continuous capital flows reaching forest protectors
- Proven infrastructure ready to scale to \$1B+ capitalization

## A One-time \$5M Raise

This is the only seed round necessary. Capital is deployed to develop the ecosystem, activate supply, signal credibility, and unlock demand.

- **Develop the ecosystem:** establish protocol, trading platform, decentralized governance, accredit verification partners.
- **Activate supply:** onboard the first 5 million+ of hectares and establish the forest protector social network.
- **Signal credibility:** institutional-grade infrastructure with built integrations to the existing credit markets. Stacked credit deals at scale.
- **Unlock demand:** Activate early market makers, prepare blended finance to de-risk future demand, ESG brand value is realized.

## Capital Leverage Logic

| Stage                     | Function                             | Capital Types                                        |
|---------------------------|--------------------------------------|------------------------------------------------------|
| \$5M<br>Starting Capital  | Build infrastructure<br>Scale supply | Non-financial<br>Philanthropic<br>Grant<br>Catalytic |
| \$100M+<br>Market Capital | De-risk demand                       | +<br>Concessional<br>Public                          |
| \$1B+<br>Market Capital   | Market maturity                      | +<br>Institutional<br>Retail                         |
| \$1T+<br>Market Capital   | Asset class adoption                 | +<br>Systemic                                        |

**Manage Millions to Mobilize Billions  
into an Asset Class that can Anchor Trillions in Nature.**

## Capital Pathway

- **Manage Millions** → Establish and de-risk the system
- **Mobilize Billions** → Scale forest integration and capital flows
- **Anchor Trillions** → Position tropical forest protection as a global reserve asset

## 07 · EXECUTION · 24 MONTHS

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This capital enables a live protocol, initial onboarding, and the institutional governance layer needed for market adoption.

| Protocol & Infrastructure                                                                                                                                                                                                                                                                                               | Governance & Market                                                                                                                                                                                                                                                                             |
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| <ul style="list-style-type: none"><li>– Develop and launch SFT protocol and market platform</li><li>– Activate annual verification systems</li><li>– Integration with bio-carbon and eco-credit markets</li><li>– Onboard 5M-10M hectares across priority regions: Brazil, Ecuador, Peru, Congo Basin, Borneo</li></ul> | <ul style="list-style-type: none"><li>– Establish institutional governance (BioFIA) and future decentralized transition</li><li>– Readiness support: Forest protector onboarding and grants to verification partners</li><li>– Secure early buyers and market making capital partners</li></ul> |

**BioFIA’s network of forest protectors is scaling rapidly, with early-stage interest representing more than 4 million hectares. Targeted catalytic funding is now required to convene these stewards into a structured design process and secure their participation in the pilot.**

## 08 · CALL TO ACTION

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We are not building a single project. We are building the conditions for capital to flow into nature at planetary scale.

**We are seeking aligned partners to deploy catalytic capital and co-create the infrastructure for a nature-based economy.**

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